www.tntextbooks.in

This information is given in the supply schedule given below.

Table 3.4 Price and Supply

Price (P)	Supply (Q_s)
1	20
2	40
3	60
4	80
5	100

Qs = 20P

3.12.2 Supply Curve

A supply curve represents the data given in the supply schedule. As the price of the commodity increases, the quantum supplied of the commodity also increases. Thus the supply curve has a positive slope from left to right. (see diagram 3.12.)

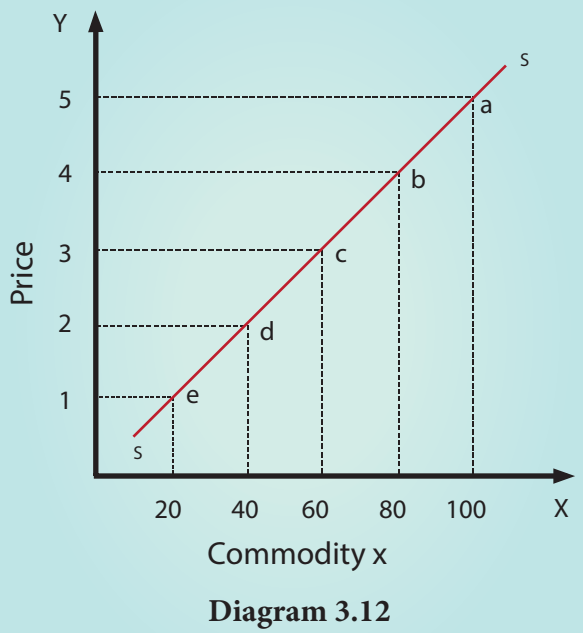

Diagram 3.12

The quantum supplied of commodity x is represented on X axis. And the price of the commodity is represented on the Y axis. The points such as e, d, c, b and a on the supply curve SS', represent various quantities at different prices.

3.12.3 Factors determining supply

1. **Price of the commodity**

   Higher the price larger the supply. Price is the incentive for the producers and sellers to supply more.

2. **Price of other commodities**

   The supply of a commodity depends not only upon its price but also price of other commodities. For instance if the price of commercial crops like cotton rise, this may result in reduction in cultivation of food crops like paddy and so its supply.

3. **Price of factors**

   When the input prices go up, this results in rise in cost and so supply will be affected.

4. **Price expectations**

   The expectation over future prices determines present supply. If a rise in price is anticipated in future, sellers tend to retain their produce for future sale and so supply in present market is reduced.

5. **Technology**

   With advancement in technology, production level improves, average cost **declines and as a result supply level increases.**

6. **Natural factors**

   In agriculture, natural factors like monsoon, climate etc. play a vital